2.9.2 Levels or Degrees of Price Elasticity of Demand

Definition: The **Price Elasticity of Demand** is commonly known as the elasticity of demand, which refers to the degree of responsiveness of demand to the change in the price of the commodity.

1. Perfectly Elastic Demand (Ep = ∞):

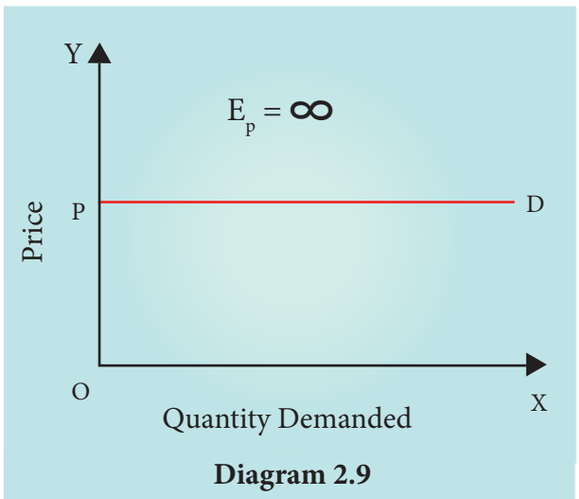


Diagram 2.9

The demand is said to be perfectly elastic when a slight change in the price of a commodity causes an infinite change in its quantity demanded. Such as, even a small rise in the price of a commodity can result in greater fall in demand even to zero. In some cases a little fall in the price can result in the increase in demand to infinity. In perfectly elastic demand the demand curve is a **horizontal straight line** parallel to x axis.

2. Perfectly Inelastic Demand (Ep =0):

When there is no change in the demand for a product due to the change in the price, then the demand is said to be perfectly inelastic. Here, the demand curve is a **vertical straight line** which shows that the demand remains unchanged irrespective of change in the price., i.e. quantity OQ remains unchanged at different prices, P_1, P_2, and P_3.

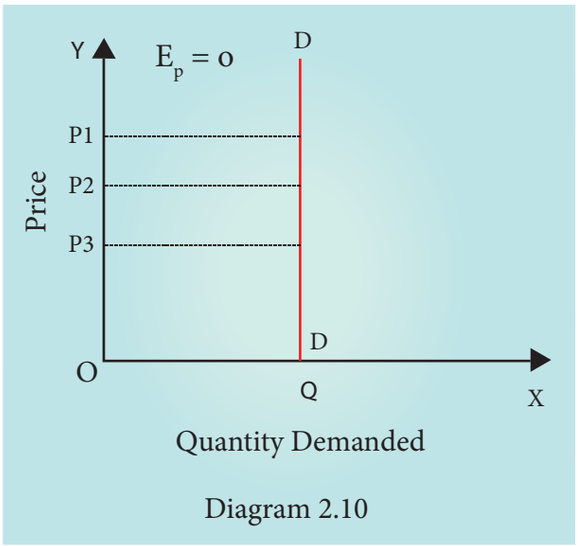


Diagram 2.10

3. Relatively Elastic Demand (E_p>1): The demand is relatively elastic when the proportionate change in the demand for a commodity is greater than the proportionate change in its price. Here, the demand curve is **gradually sloping** which shows that a proportionate change in quantity from 5 to 10 is greater than the proportionate change in the price from 11 to 10. Change in demand is: $^{10-5}/_{5} \times 100 = 100\%$

Change in price =10%. Hence, it is more elastic demand.

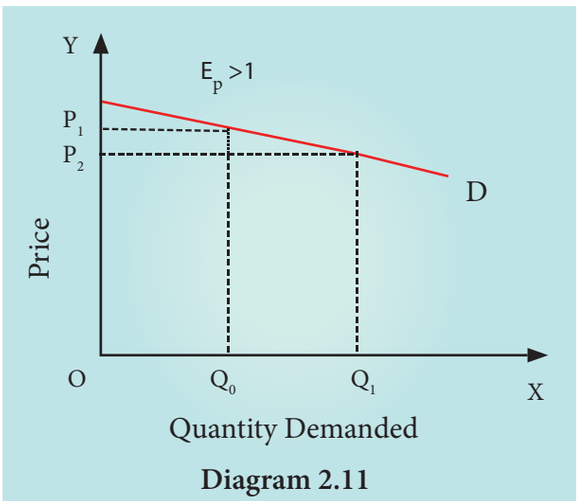


Diagram 2.11

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